IPO ANALYSIS REPORT · DRHP

Jagatjit Agri Engineering Limited

Mainboard · Agricultural implements (Super Seeders, straw reapers, rotavators, laser levellers, biomass machines) · filed 2026-10-01 · lead manager(s): Keynote Financial Services · issue size Rs 300 cr · price band: Not announced · analysed 2026-10-20

CALL

Screen only

BUSINESS STAGE

–

Proforma revenue grew 63% in FY26 to Rs 414.0 cr with an EBITDA margin of 13.5%, but the business only combined on 1-Apr-2025, one customer is 25% of revenue and FY26 operating cash flow was 8.6% of PAT as stock built up; at the Rs 155.78 peer-median reference the price asks for a continuation of that growth.

Revenue FY26 **₹414 cr** CAGR FY24-FY26: **191.1%**	PAT FY26 **₹31 cr** CAGR FY24-FY26: **254.2%**	EBITDA margin **13.5%** FY24	Cash conversion (CFO / PAT, 3 yrs) **69.7%**
Cash tax rate (3 yrs) **26.1%**	P/E at reference (post-issue) **37.2x** peer median: **27.6x**	Adjusted P/E (earnings quality) **39.6x** reported: **37.2x**	Blended value (Neutral) **₹95.28** vs reference: **-38.8%**

Reference price

₹155.78

Rs 155.78 = FY26 basic EPS Rs 5.64 × 27.62x, the median of the three listed peers the issuer names (pp. 154-156). It is an assumption, not a price band. The only priced issue, the Oct-2025 allotment against the promoters' businesses at Rs 33.63 after bonus and split (pp. 163, 388), was non-cash and is not used.

Report structure

Business of the company

Industry outlook

Moat and SWOT analysis

Management analysis and governance

Historical financials and ratios

Future outlook and projections

Valuation: DCF and peer comparison (P2P)

Areas to watch and growth drivers

Conclusion

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

Screen only

STAGE

Mainboard · DRHP

Proforma revenue grew 63% in FY26 to Rs 414.0 cr with an EBITDA margin of 13.5%, but the business only combined on 1-Apr-2025, one customer is 25% of revenue and FY26 operating cash flow was 8.6% of PAT as stock built up; at the Rs 155.78 peer-median reference the price asks for a continuation of that growth.

Revenue FY26 **₹414 cr** CAGR FY24-FY26: **191.1%**	PAT FY26 **₹31 cr** CAGR FY24-FY26: **254.2%**	EBITDA margin **13.5%** FY24	Cash conversion (CFO / PAT, 3 yrs) **69.7%**
Cash tax rate (3 yrs) **26.1%**	P/E at reference (post-issue) **37.2x** peer median: **27.6x**	Adjusted P/E (earnings quality) **39.6x** reported: **37.2x**	Blended value (Neutral) **₹95.28** vs reference: **-38.8%**
Reference price **₹155.78** Rs 155.78 = FY26 basic EPS Rs 5.64 × 27.62x, the median of the three listed peers the issuer names (pp. 154-156). It is an assumption, not a price band. The only priced issue, the Oct-2025 allotment against the promoters' businesses at Rs 33.63 after bonus and split (pp. 163, 388), was non-cash and is not used.			

Basis. Draft Red Herring Prospectus dated 25-Sep-2026, filed with SEBI on 01-Oct-2026. Audited (restated) financials run to 31-Mar-2026 and are **203 days old** at the date of this note; there is no H1 FY27 data, and Q4 is the company's seasonally weakest quarter (p. 34). **No price band has been announced.**

> BRLM: Keynote Financial Services Limited. Page numbers are the DRHP's printed pages; amounts are in ₹ million unless stated (₹ crore in the model).
>
> Upside is measured against **₹155.78**, an assumption: FY26 basic EPS ₹5.64 × 27.62x, the median P/E of the three listed peers the issuer names (pp. 154-156). It is a reference point, not a price band. The only priced issue, the Oct-2025 allotment against the promoters' businesses, was at ₹33.63 after bonus and split and was paid in kind, so it is not used (pp. 163, 388). Exit route assumed: 2-3 year hold. Grey market premium is not used. Everything below is the Fund's own analytical view of the offer document; nothing outside the DRHP is used except the merchant-banker appendix.
>
> A DRHP is a screen, not a decision. Because FY26 is the first year in which the promoters' two proprietorships sit inside the company, the RHP, with H1 FY27, will be the first like-for-like read.

1. Business of the company

Jagatjit makes tractor-mounted and tractor-operated farm implements: Super Seeders, straw reapers, rotavators, laser land levellers, briquette and pellet machines, plus threshers, harvesters and a tubewell boring machine. It lists 20 products and 192 SKUs (pp. 248-249). CARE ranks it the third-largest homegrown implement maker by FY26 revenue and puts its Straw Reaper value share near 13% (pp. 245-246). Two plants in Punjab, Cheema (Sangrur) and Dehlon (Ludhiana), do cutting, bending, fabrication, machining, painting and assembly in-house; raw material is steel and bought-out components such as gearboxes (pp. 246, 473).

Sales run through 233 dealers and 12 distributors (86.08% of FY26 revenue), plus direct customers (13.89%) (p. 247). The distributor share rose from 12.61% to 46.16% of revenue between FY24 and FY26 (p. 247). End demand is farmer-led and partly subsidised under the Crop Residue Management and SMAM schemes, funded about 60% by the Centre and 40% by states; empanelment is a barrier to entry and state payments have been late in the past (pp. 56-57). Northern states were 68.04% of FY26 revenue, Central 25.95% (p. 29).

How the company came to be in this shape. The Jagatjit brand traded for three decades through two promoter proprietorships, Saron Mechanical Works I (Dharam Singh) and II (Jagatjit Singh). The company, incorporated in 2020, was a small supplier to them. On 27-Aug-2025 it bought both businesses on a slump-sale basis, effective 1-Apr-2025, at carrying values: net assets of ₹320.03 m for ₹324.57 m paid in shares at ₹1,547 per ₹10 share (pp. 387-388). That is why restated revenue jumped from ₹959.26 m (FY25) to ₹4,139.70 m (FY26), and why the proforma statements, not the restated ones, are the right base for growth (p. 92).

Stage of the business: scaling. A 40-year brand and a very recent corporate structure. The record is real but short as a listed-company entity: the audit trail in the accounting software only began in January 2026 (p. 416).

2. Industry outlook

The CARE report, **commissioned and paid for by the issuer** (p. 245), sizes the Indian farm equipment market at ₹1,397 bn in FY26, up from ₹769 bn in FY20 (10.5% CAGR), and expects ₹1,876 bn by FY30 (7.7% CAGR) (p. 250). It sees mechanisation moving from a high-growth adoption phase to a steadier, replacement-and-precision phase. Biomass briquette and pellet equipment is a separate, smaller opportunity.

Structure: the listed names the issuer benchmarks against are tractor makers (Escorts Kubota, VST Tillers Tractors, Indo Farm Equipment) which the document itself says have no directly comparable product portfolio (p. 156). Implement makers such as Tirth Agro (Shaktiman) are private (p. 241). Cyclicality: kharif and rabi

seasons, monsoon, MSP and subsidy timing; steel is the main cost driver and moves quarterly margin (p. 220). Regulation and subsidy policy sit with state governments (p. 56).

3. Moat and SWOT analysis

The moat is **brand and distribution, with modest technology**. Evidence: a 233-dealer, 12-distributor network across 20 states (up from 10 in FY24) (pp. 247-248), subsidy empanelment that non-empanelled makers lack (p. 57), 46 R&D staff and three patents, acquired from the promoters by deed of assignment (pp. 246, 54). Against that, R&D spend is 0.34% of revenue (p. 246) and implements are a low-barrier category; switching costs for a farmer are low. Durability is therefore moderate and depends on dealer loyalty and subsidy empanelment.

STRENGTHS

- Proforma revenue CAGR 41.3% over FY24-FY26; industry 10.2% over FY23-26 per the issuer-commissioned CARE report (pp. 92, 248)
- ROCE 31.1% and interest cover 5.03x in FY26 (p. 158)
- Cash tax 26.1% of cumulative PBT; no deferred-tax cushion (p. 87)
- Top supplier 7.94% and top 10 suppliers 40.53% of FY26 purchases, down from 76.68% (p. 39)
- 20+ products and 192 SKUs; 233 dealers and 12 distributors across 20 states (pp. 246, 247)

WEAKNESSES

- Seth Agro Industries 25.21% of FY26 revenue (p. 261)
- Northern states 68.04% and Central states 25.95% of revenue (p. 29)
- Top three products 64.40% of FY26 revenue (p. 29)
- FY26 CFO Rs 26.85 m vs PAT Rs 313.90 m (p. 88)
- Audit trail in the accounting software only from Jan-2026 (p. 416)

OPPORTUNITIES

- Indian farm equipment market Rs 1,397 bn FY26 to Rs 1,876 bn FY30, 7.7% CAGR, issuer-commissioned estimate (p. 250)
- Dehlon expansion adds 29,000 units to 4,000, due Mar-2028 (pp. 137, 143)
- Biomass briquette and pellet machines for crop-residue conversion (pp. 252, 253)
- R&D team of 46 and three patents (p. 246)

THREATS

- Demand depends on CRM and SMAM subsidies, with past delays in state payments (pp. 56, 57)
- Q4 is a seasonally weak quarter (p. 34)
- Group company Goodfield Technology has common pursuits with the issuer (p. 30)
- Promoters were disqualified as directors from Sep-2020 to Oct-2021; compounding applications filed (p. 37)
- Larger tractor OEMs (Escorts Kubota, VST, Indo Farm) are the only listed comparables (p. 156)

4. Management analysis and governance

Promoters: Dharam Singh (Chairman and Whole-time Director, the founder's generation of the brand), Jagatjit Singh (Managing Director, second generation) and Simran Saron (Whole-time Director) (pp. 96-97, 246). The three executive directors share one residential address, and the company is promoter-run. Three independent directors sit on the board (p. 97).

Shareholding. The promoter group holds 99.99% before the offer: 55,646,384 of 55,650,984 shares; one public holder has 4,600 shares (p. 108). Jagatjit Singh holds 48.99 m shares at an average cost of ₹5.40, Dharam Singh 2.05 m at ₹33.70, Simran Saron 4.59 m at ₹0.22; the three-year weighted average cost is ₹5.94 (p. 119). He sells up to 3.10 m shares (6.3% of his holding) in the offer for sale. At the reference price that is about ₹48.3 cr, 13.9% of a combined fresh-plus-OFS offer of about ₹348.3 cr.

Pay. Promoter remuneration is ₹60.00 m in FY26 (Jagatjit Singh 30.00, Dharam Singh 18.00, Simran Saron 12.00) and nil in earlier years, 19.1% of PAT and 21.8% of employee cost (pp. 94, 87). This is within the range for a promoter-managed company of this size; it is a new charge in FY26 and a base for FY27.

Related parties (p. 94-95). FY26 purchases from related firms were ₹164.91 m (Expert International 83.42, G9 International 42.65, A.P.U Traders 32.60, Goodfield 6.24), 6.5% of materials consumed; sales to them ₹69.99 m (1.7% of revenue), mostly Guru Nanak Agriculture Implements (₹63.43 m, receivable ₹49.09 m = 8.0% of trade receivables). Loans and advances to promoters of ₹55.00 m were outstanding at 31-Mar-2026, and borrowings from promoters and their family were ₹8.17 m. The Dehlon land (16.20 acres of a 30-acre promoter parcel) is leased from Jagatjit Singh at ₹0.08 m a month to 2055 (pp. 129, 138).

Compliance record. Dharam Singh and Jagatjit Singh were disqualified as directors from 29-Sep-2020 to 31-Oct-2021 through a struck-off promoter company that had not filed returns; compounding applications are filed and no penalty has been imposed (p. 37). Other late RoC filings have adjudication applications pending (p. 38). **Litigation:** eight tax proceedings and one regulatory matter against the company, ₹27.71 m in total; two criminal and one civil matter by the company, ₹14.56 m; none against promoters or directors (p. 54). Contingent liabilities ₹71.70 m, 10.1% of net worth (p. 93).

Auditors. Anup Kumar Jain & Co since 30-Sep-2024, after a resignation (Singla Gupta, 23-Apr-2024) and a short appointment of Kansal Sandeep & Associates (2-May to 30-Sep-2024) (p. 98). FY24 and FY25 are special-purpose Ind AS statements; the earlier auditor did not have a peer-review certificate and so did not perform the restatement (p. 343). No qualification or emphasis of matter.

Governance read: a family-run company with a clear business, a clean audit opinion and a short corporate history, whose governance infrastructure (audit trail, independent board, committees) is new. The record on disqualification and filings is historical and being regularised. Nothing here meets the material-issue test; the points are for the RHP to settle.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

₹ m	FY24 proforma	FY25 proforma	FY26 restated
Revenue from operations	2,074.48	2,537.60	4,139.70

₹ m	FY24 proforma	FY25 proforma	FY26 restated
Growth		+22.3%	+63.1%
EBITDA	201.97	368.18	557.38
EBITDA margin	9.74%	14.51%	13.46%
PAT	80.82	206.95	313.90
PAT margin	3.90%	8.16%	7.58%
Borrowings (incl. leases)	646.54	845.24	1,344.07
Tangible net worth	231.24	389.96	704.74

Sources: pp. 92, 158. The restated FY25 (revenue ₹959.26 m, PAT ₹65.47 m) and FY24 (₹488.60 m, ₹25.02 m) are company-only and not comparable with FY26 (p. 87).

- **Gross margin is not comparable across years.** It rises from 23.58% to 37.19% to 39.06% (p. 158) while the proforma employee cost rises from ₹88.52 m to ₹259.35 m and cost of materials falls from 85.85% to 65.55% of revenue (p. 92): labour and job-work appear to have moved between lines. EBITDA margin is the cleaner read.
- **Cash flow.** CFO ₹124.93 m / ₹130.15 m / ₹26.85 m in FY24 / FY25 / FY26 against PAT of ₹25.02 m / ₹65.47 m / ₹313.90 m; cumulative CFO/PAT 69.7% (p. 88). FY26 absorbed ₹445.46 m of inventory and ₹281.35 m of other assets. Investing outflow was ₹196.81 m and financing inflow ₹236.13 m.
- **Working capital.** Trade NWC (inventory + receivables - trade payables) is ₹838.52 m, 20.3% of revenue, against 20.5% (proforma FY25) and 18.5% (proforma FY24); incremental NWC was ₹0.20 per ₹1 of incremental revenue. On closing balances, inventory is about 165 days of cost of goods against the issuer's average-based 132 days; payables 132 days against 106 (p. 133). Micro and small enterprise payables are ₹424.14 m, 46.5% of trade payables.
- **Balance sheet.** Net debt ₹1,194.17 m (borrowings ₹1,344.07 m less cash and bank ₹149.90 m); debt/equity 1.89x; current ratio 1.10x; interest cover 5.03x (p. 158). Sanctioned working-capital limits are ₹1,150 m with ₹945.02 m drawn at 31-Aug-2026 (p. 125).
- **Returns.** ROE 53.89% and ROCE 31.10% (p. 158). Post-issue, on the same profit and about ₹371 cr of equity (₹70.9 cr plus the fresh issue before expenses), ROE would be near 8.5%, and NAV ₹49.5 a share against ₹12.75 now.

Ratios at the ₹155.78 reference. Pre-issue market cap about ₹867 cr; P/E 27.6x on FY26 EPS; P/B 12.2x; EV/EBITDA 17.7x. Peers (p. 156): P/E 33.34x / 27.62x / 23.35x, P/B 3.2x / 1.2x / 2.7x, EV/EBITDA 20.93x / 12.99x / 20.82x. P/B is high because the company's equity was only ₹70.9 cr at March 2026.

Is the reported P/E right? Earnings quality at Rs 155.78

Reported P/E is a fair measure: the adjustments found move FY26 PAT by -6.2%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 86.6x reported and 91.0x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	31.39	4.19	**37.2x**
FY26 after: creditors written back	29.44	3.93	**39.6x**
FY24-FY26 average, reported	13.48	1.8	**86.6x**
FY24-FY26 average, adjusted	12.83	1.71	**91.0x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Sundry creditor balances written back to other income Other income of Rs 35.03 m includes Rs 26.05 m of sundry balances written back on closure of legacy creditors, 5.9% of PBT. It did not recur in FY25 (nil) and is not part of operating earnings.	0	0	-2.61	! Yes	Medium	39.6x	p. 473

Also checked, no adjustment needed

✔ Pass Provision for expected credit loss Rs 34.90 m charged in FY26 (p. 88); bad debts written off 0.33% of revenue (p. 45)

✔ Pass Interest on vendor credit Rs 7.36 m and bank penal charges Rs 4.39 m are charged to finance cost (p. 474)

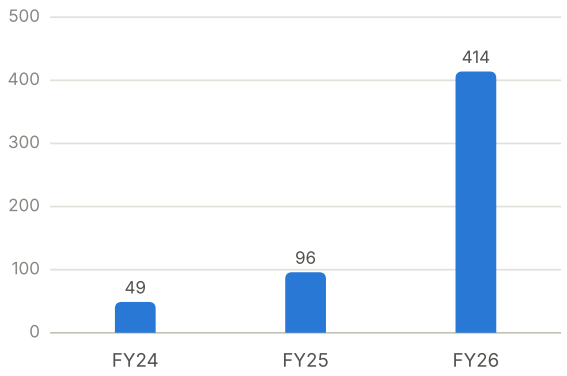
✔ Pass Promoter pay of Rs 60.00 m (Jagatjit Singh 30.00, Dharam Singh 18.00, Simran Saron 12.00) is charged in FY26; none in earlier years (p. 94). Pay is 19.1% of PAT and 21.8% of employee cost

✔ Pass Lease of 16.20 acres from the promoter at Rs 1.01 m a year is charged as rent (p. 94); a market rent is not disclosed

✔ Pass Deferred tax is negligible, so cash tax is not flattered (p. 87)

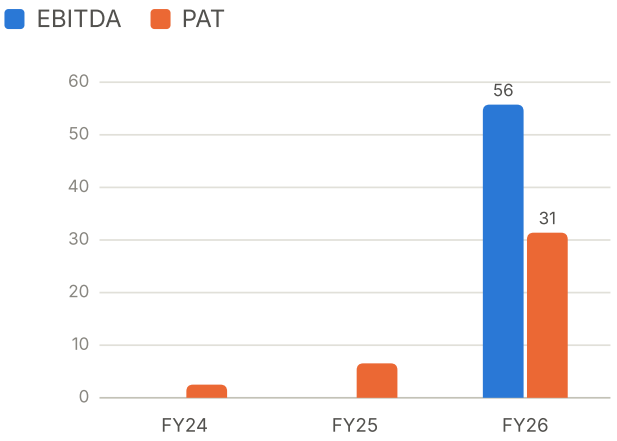
Revenue from operations

Rs crore



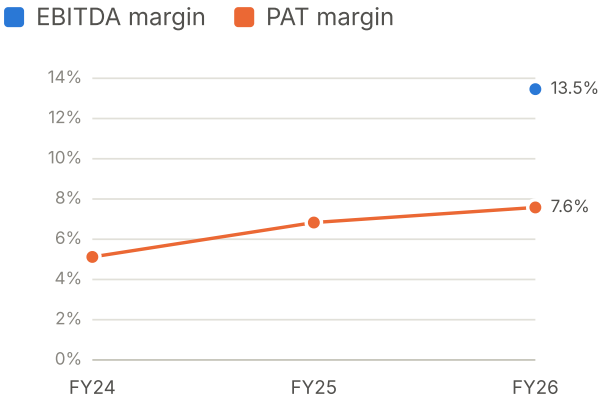
EBITDA and PAT

Rs crore



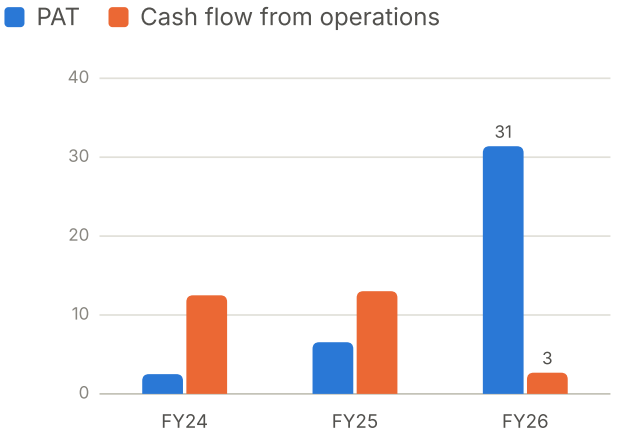
Margins

% of revenue



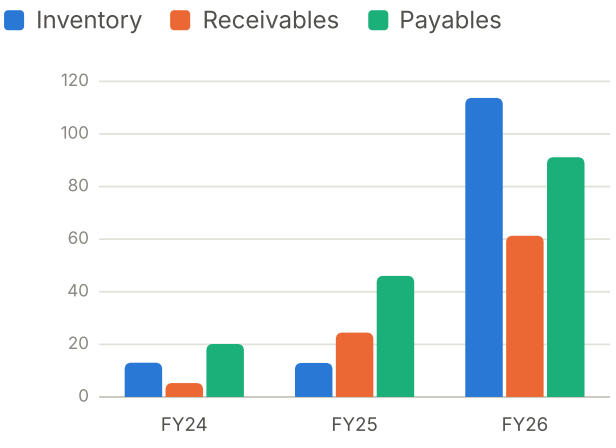
Profit and operating cash flow

Rs crore



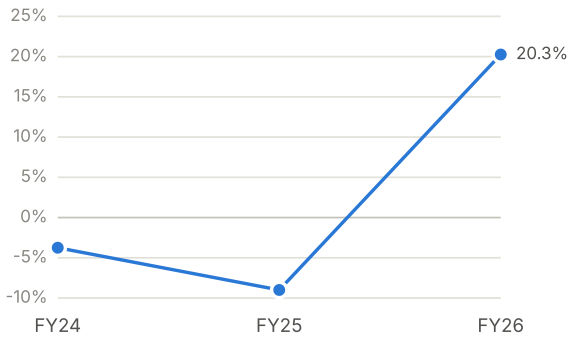
Working capital

Rs crore, year end



Net working capital

% of revenue



6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

What management says. The expansion adds a fabrication unit, utilities and an R&D unit at Dehlon, taking capacity from 4,000 to 33,000 units; civil work from April 2027, trial production in February 2028 and commercial production on 1-Mar-2028 (pp. 137, 143). Group capacity (Cheema 19,875 plus Dehlon 4,000 = 23,875 units) ran at about 76% in FY26 (18,219 units produced; p. 267); after expansion it would be 52,875 units, and FY26's output would fill about 34% of it. Capex orders for ₹716.64 m, 100% of the project, are **not yet placed** and quotations are valid one year (pp. 129, 139). Order book data is not given.

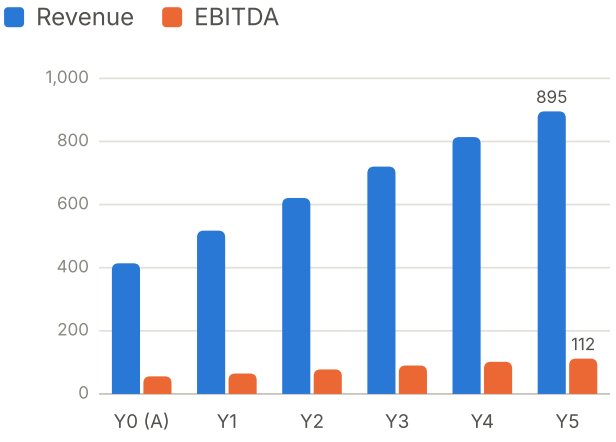
What the working-capital plan implies. The Board-approved plan holds receivables at 45 days of revenue and inventory at 130 days (p. 127). Receivables of ₹946.42 m, ₹1,150.88 m and ₹1,681.64 m at March 2027, 2028 and 2029 therefore imply revenue of roughly ₹7.7 bn, ₹9.3 bn and ₹13.6 bn (our arithmetic), against ₹4.14 bn in FY26: about 85% growth in FY27 and a 48% CAGR to FY29. That is above even our Bull case.

Case	Revenue growth FY27 to FY31	EBITDA margin	Trade NWC % revenue	Terminal ROIC
Bear (issue unfunded)	8%, 7%, 6%, 5%, 5%	10.5%	23%	13%
Neutral	25%, 20%, 16%, 13%, 10%	12.5%	20%	20%
Bull	35%, 28%, 22%, 16%, 12%	14.0%	18%	25%

Rationale: FY26 growth of 63% and FY25 of 22% on a proforma base against an industry at 7.7-10.2%; Neutral uses the three-year average margin (12.6%) and working-capital intensity, not the best or worst year; Bear is near industry growth with no IPO funding; Bull holds above 30% for two years as capacity arrives. **What has to go right:** subsidy-linked demand holds, the 25% customer stays, inventory converts to cash, and the new capacity is built on time.

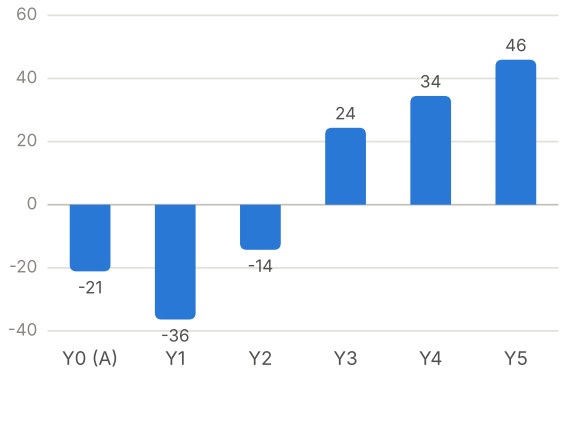
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore



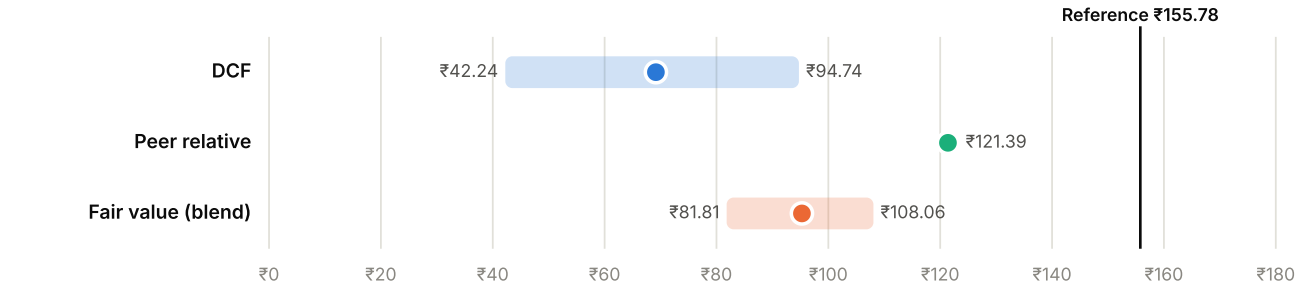
7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Rs 155.78 = FY26 basic EPS Rs 5.64 x 27.62x, the median of the three listed peers the issuer names (pp. 154-156). It is an assumption, not a

price band. The only priced issue, the Oct-2025 allotment against the promoters' businesses at Rs 33.63 after bonus and split (pp. 163, 388), was non-cash and is not used.

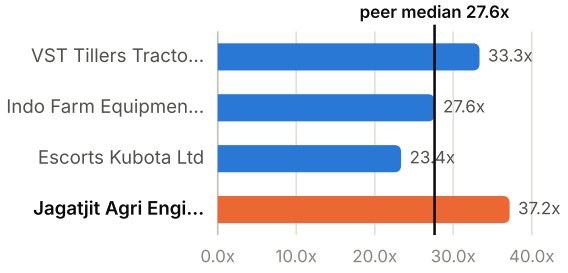
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



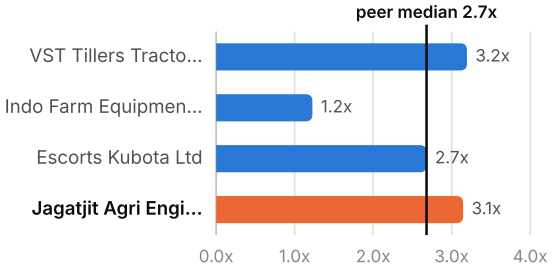
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹42.24	₹121.39	**₹81.81**	-47.5%
Neutral	₹69.17	₹121.39	**₹95.28**	-38.8%
Bull	₹94.74	₹121.39	**₹108.06**	-30.6%

WACC **14.3%**

Terminal value share of EV **94.9%**

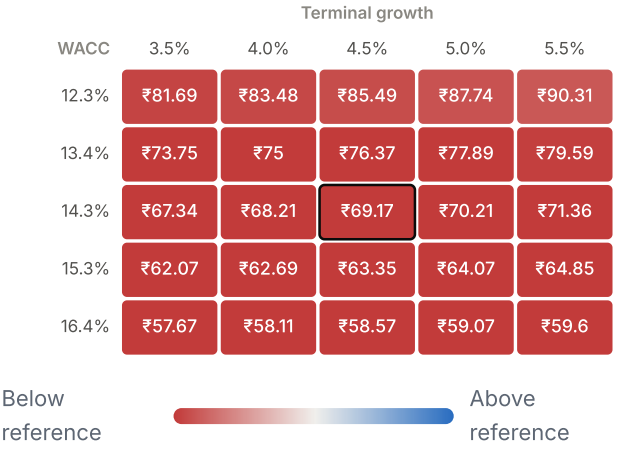
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	14.3%
required EBIT margin (steady state)	38.7%	12.3%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	20.3%

Current free cash flow is negative, so no multiple can be stated: the price assumes cash generation improves from here.

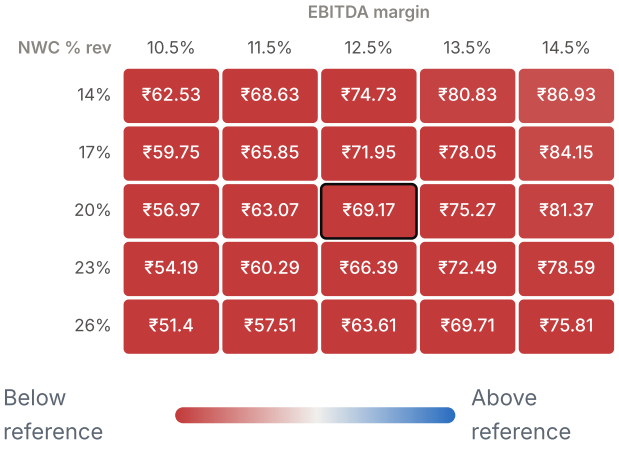
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer table (issuer at ₹155.78 reference, FY26; peers at 11-Sep-2026 prices; p. 156-157):

Company	CMP ₹	EPS ₹	P/E	P/B	EV/EBITDA	FY26 revenue growth
VST Tillers Tractors	4,039.90	121.16	33.34x	3.2x	20.93x	24.7%

Company	CMP ₹	EPS ₹	P/E	P/B	EV/EBITDA	FY26 revenue growth
Indo Farm Equipment	141.95	5.14	27.62x	1.2x	12.99x	13.7%
Escorts Kubota	2,900.15	124.20	23.35x	2.7x	20.82x	12.7%
Median			**27.62x**	2.7x	20.82x	
Jagatjit (reference)	155.78	5.64	27.6x	12.2x	17.7x	63.1% proforma

The issuer states that no listed peer has a comparable portfolio, so the three tractor and tillage makers are a partial match; we use them as the issuer's own set and disclose the mismatch. Because of that the blend is **70:30 DCF to relative**. No company-specific premium and no discount to the peer median is applied.

DCF inputs. WACC 14.35% (CAPM with house inputs; cost of debt 9.3%, implied by FY26 finance cost over average borrowings); terminal growth 4.50%. FY26 base: revenue ₹413.97 cr, EBITDA ₹55.74 cr, net debt ₹119.42 cr, trade NWC ₹83.85 cr. Free cash flow to the firm is negative in the first two forecast years of the Neutral case (about -₹36 cr and -₹14 cr, then +₹24 cr, +₹34 cr and +₹46 cr) because growth consumes working capital and the expansion is funded from the issue. IPO-funded capex (₹71.66 cr) is in Neutral and Bull and excluded from Bear.

₹ per share	Bear	Neutral	Bull
DCF	42.24	69.17	94.74
Relative (post-issue)	121.39	121.39	121.39
Blended (70:30)	81.81	95.28	108.06
vs ₹155.78	-47.5%	-38.8%	-30.6%

Why DCF and relative differ (-43%). The relative method prices FY26 earnings at peer multiples; the DCF prices the cash the business is expected to release, and here those have separated: FY26 earnings of ₹31.4 cr against negative operating free cash flow. The terminal value is 94.9% of enterprise value, so the DCF is mostly a view on the long-run margin and returns, not on the next three years. Both statements are true; the RHP's cash flow decides which reading earns more weight.

Reverse DCF. Current free cash flow is negative, so no multiple of it can be stated: the price assumes cash generation improves from here. Holding growth at the Neutral path, justifying ₹155.78 needs a steady-state EBIT margin of about 38.7% against 12.3% achieved, and it is unreachable through working capital alone (the 20.3% NWC intensity would have to turn negative). A lower price changes this: at roughly ₹106 or below the Neutral value would be within 10% of the price.

Objects floor. None: the fresh issue is amount-based, so no share count fixes a floor price.

8. Areas to watch and growth drivers

Growth drivers to track: Super Seeder and straw reaper volumes in subsidy states; dealer and distributor additions (233 and 12 now); the Dehlon build against the March 2028 date; biomass machine sales; export recovery (1.36% of revenue).

Points to monitor (normal-course items, each with its number):

- Customer concentration: Seth Agro 25.21% of FY26 revenue (3.85% in FY24); the DRHP does not describe the relationship (p. 261).

- Subsidy exposure and payment delays (pp. 56-57); seasonality with a weak Q4 (p. 34).
- Inventory: finished goods ₹432.33 m and raw materials ₹478.99 m at March 2026 (p. 473); the FY26 cash conversion of 8.6%.
- Micro and small enterprise payables ₹424.14 m, 46.5% of trade payables; vendor credit interest ₹7.36 m (pp. 85, 474).
- Related parties: purchases ₹164.91 m, promoter loans and advances ₹55.00 m, promoter-owned land (pp. 94-95, 129).
- Past director disqualification (compounding filed) and the accounting-software audit trail only from January 2026 (pp. 37, 416).
- Offer under Reg 6(2): at least 75% of the offer to QIBs or it fails (p. 57); general corporate purposes up to 25% of gross proceeds, to be checked against the ICDR cap in force at the RHP (p. 124).
- Promoter sells 3.10 m shares; the fresh issue carries ₹998 m not yet allocated to a named object (offer expenses and general corporate purposes).

What would change our view (measurable):

1. A price band at or below about ₹106 (Neutral value within 10% of price) would move the rule to *Subscribe*; ₹106-136 to *Neutral*; above about ₹136 the Neutral value is more than 30% below the price and the Bull value (₹108) is also below it, which is the *Avoid* limb.
2. H1 FY27 CFO/PAT above 70% with finished goods stock falling from ₹432 m.
3. Seth Agro's share of revenue and its relationship to the promoters disclosed; share below 20%.
4. Placed capex orders and a monitoring agency named in the RHP.
5. The RHP carrying audited statements to a date within six months of filing, with proforma cash flow.

9. Conclusion

CALL

Screen only

STAGE

Mainboard · DRHP

Proforma revenue grew 63% in FY26 to Rs 414.0 cr with an EBITDA margin of 13.5%, but the business only combined on 1-Apr-2025, one customer is 25% of revenue and FY26 operating cash flow was 8.6% of PAT as stock built up; at the Rs 155.78 peer-median reference the price asks for a continuation of that growth.

Call: Screen only. There is no price band, so the call rule cannot be applied to a price. The valuation was struck at the ₹155.78 reference. At that price the rule's *Avoid* limb would apply (Neutral ₹95.28 is 38.8% below, and Bull ₹108.06 is also below), driven by the DCF; no issue in the DRHP is material under the Fund's definition, so the call would rest on valuation alone, not on the accounts.

Fair value range: ₹82 (Bear) to ₹108 (Bull), Neutral ₹95, on the blended method.

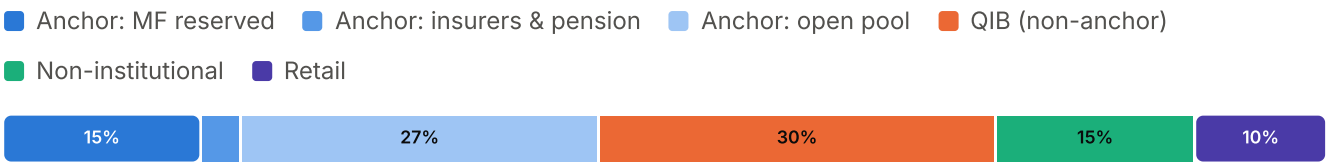
What decides it: (1) the price band relative to about ₹106-136; (2) whether the FY26 stock build converts to cash in H1 FY27. The business growth, margins and returns are real on the proforma figures; the open question is how much of the peer multiple the market will extend to a 40-year brand in its first year as a single company.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 300 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter minimum contribution (20% of post-offer capital); lock-in 18 months from allotment under ICDR, confirm in RHP; at Rs 155.78 reference	149.8	540
Promoter holding above the minimum, after the 31 lakh-share OFS (1 year from allotment under ICDR; confirm in RHP); at reference	375.5	365
Pre-issue non-promoter shareholders (0.046 lakh shares, 0.01%)	0.05	180

Lead manager: Keynote Financial Services Limited

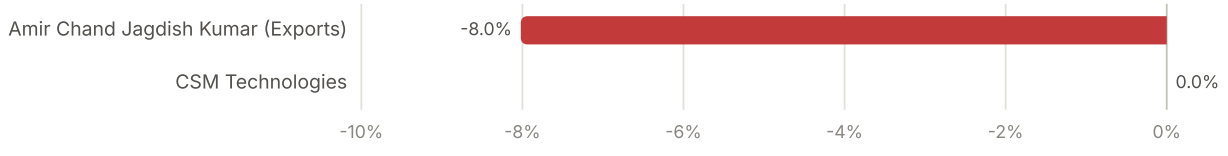
Listed: –

Owner: –

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586
FY2025-26	0	–
FY2024-25	0	–

Lead managers' recent issues: listing-day open vs issue price

Offer-document data



Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	22:1 bonus (allotted 27-May-2026) and 1:2 split (4-May-2026) are applied to every year: EPS 5.64 / 1.42 / 0.57 and NAV 12.75 use the 55,650,984-share count. FY26 EPS divides PAT by the year-end count rather than a time-weighted count (the 9.65 m consideration shares were issued 22-Oct-2025); a weighted count would give a higher EPS, so the reported P/E is not flattered.	pp. 154-156
2	Cash flow vs profit	! Watch	CFO Rs 26.85 m in FY26 against PAT Rs 313.90 m (8.6%); cumulative CFO/PAT FY24-26 is 69.7% (281.93 / 404.39). FY26 absorbed a Rs 445.46 m inventory build (finished goods Rs 432.33 m vs Rs 19.26 m) and Rs 281.35 m other assets. Acquired balances came in through the slump sale, so the FY26 cash flow is not like-for-like with FY25.	p. 88
3	Current vs deferred tax	✔ Pass	Current tax Rs 130.30 m on PBT Rs 444.12 m = 29.3% in FY26; cumulative FY24-26 current tax 147.09 / PBT 562.64 = 26.1%, above the 25.17% statutory rate. Deferred tax is negligible (credit Rs 0.09 m).	p. 87
4	Related-party capex & subsidiaries	! Watch	Capex of Rs 716.64 m is to be built on 16.20 acres leased from the promoter Jagatjit Singh at Rs 0.08 m a month (+15% every 3 years, to 2055). Related-party purchases FY26 Rs 164.91 m (6.5% of materials consumed) from Goodfield, Expert International, A.P.U Traders and G9 International, each owned by persons with KMP influence. Loans/advances to promoters Rs 55.00 m outstanding at 31-Mar-2026. No proceeds go to a subsidiary.	pp. 94-95, 129, 145
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (up to Rs 3,000 m), so there is no fixed share count and no objects price floor. Identified objects are Rs 2,001.64 m (66.7% of the fresh issue): working capital 1,100.00, Dehlon capex 716.64, debt repayment 185.00. The rest is offer expenses and general corporate purposes (up to 25% of gross proceeds, p. 124).	pp. 124, 130
6	Revaluation reserve	✔ Pass	No revaluation reserve in the restated balance sheet.	p. 85
7	Goodwill vs tangible equity	✔ Pass	Goodwill Rs 4.55 m = 0.6% of equity. The slump-sale businesses were taken in at carrying values (net assets Rs 320.03 m for consideration Rs 324.57 m; goodwill Rs 4.55 m). The proforma balance sheet shows goodwill of Rs 65.66 m (p. 91) against Rs 4.55 m in the restated one: the two treatments differ.	pp. 85, 387-388
8	Customer / supplier / geographic concentration	! Watch	Demand side: Seth Agro Industries 25.21% of FY26 revenue (Rs 1,043.46 m; 17.20% FY25, 3.85% FY24); top 10 customers 50.04%; no long-term agreements. Supply side improved: top supplier 7.94% and top 10 40.53% of FY26 purchases (76.68% FY25). Geography: Northern 68.04% and Central 25.95% of FY26 revenue.	pp. 35-36, 39, 261

#	CHECK	RESULT	FINDING	PAGE
9	Contingent liabilities	✔ Pass	Contingent liabilities Rs 71.70 m (GST Rs 22.67 m, income tax Rs 0.18 m, other Rs 6.50 m, bank guarantees Rs 42.35 m) = 10.1% of net worth. Litigation: 8 tax proceedings and 1 regulatory matter against the company, Rs 27.71 m in aggregate; 2 criminal and 1 civil matter by the company, Rs 14.56 m.	pp. 93, 54-55
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✔ Pass	Anup Kumar Jain & Co (FRN 005731N); no qualification or emphasis of matter in the restated report. Auditor history: Singla Gupta resigned 23-Apr-2024 (preoccupation), Kansal Sandeep & Associates filled the vacancy 2-May-2024 and ceased 30-Sep-2024 (tenure), Anup Kumar Jain appointed 30-Sep-2024 (p. 98). FY24 and FY25 are special-purpose Ind AS statements; the earlier statutory auditor did not hold a peer-review certificate and did not perform the restatement (p. 343).	pp. 343-344
R2	CARO / audit trail	! Watch	The parent's accounting software recorded an audit trail (edit log) only from January 2026; before that it had no such feature (Note 52(xxi)). Audit-trail-at-database-level is also flagged as a risk (p. 52). The Rule 11(g) requirement is therefore met for part of FY26 only.	pp. 52, 416
R3	Monitoring agency	! Watch	The company states it will appoint a monitoring agency before the RHP; issue size above Rs 500 m requires one. Not yet named.	p. 101
R4	Eligibility re-computation	! Watch	Offer is under Reg 6(2) because Reg 6(1)(a) (net tangible assets Rs 30 m in each of three years) and 6(1)(c) (net worth Rs 10 m in each year) are not met: FY24 net worth was Rs 5.32 m (p. 85). At least 75% must be allotted to QIBs or the offer fails.	p. 57
R5	SME conditions	– N.A.	Mainboard offer.	
R6	Lead-manager track record	! Watch	Keynote Financial Services has two IPOs in FY2026-27 (Rs 5,858 m) and none in FY2024-26 per the DRHP; both traded below issue at day 30 (-23.53% and -2.75%). Short record; see Appendix B.	p. 511
R7	Firm means of finance	– N.A.	Means of finance not separately tested at DRHP stage.	

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Offer:** fresh issue up to ₹3,000 m plus an offer for sale of up to 3,100,000 shares of ₹5 by Jagatjit Singh; shares and price [●] (cover page, p. 82). A pre-IPO placement of up to ₹600 m (20% of the fresh issue) may be made first and reduces the fresh issue.
- **Objects (p. 124):** working capital ₹1,100 m (₹700 m FY28, ₹400 m FY29); Dehlon capex ₹716.64 m (plus ₹91.74 m of GST and ancillary charges funded elsewhere); debt repayment ₹185 m; general corporate purposes up to 25% of gross proceeds. Identified objects total ₹2,001.64 m, 66.7% of the fresh issue.
- **Structure (Reg 6(2)):** at least 75% QIB (60% of QIB to anchors, one-third of anchor to mutual funds, 6.67% to insurers and pension funds), up to 15% non-institutional, up to 10% retail (pp. 82, 57). Anchor allocation is discretionary; anchor shares are locked in for 50% 30 days and 50% 90 days, so they cannot be sold on listing day.
- **Lock-ins (confirm in RHP):** promoter contribution of 20% of post-issue capital for 18 months (about 149.8 lakh shares at the reference), remaining promoter shares one year (about 375.5 lakh), the 0.046 lakh public shares six months.
- **Pre-IPO capital:** 22:1 bonus and 1:2 split completed in May 2026; 55,650,984 shares of ₹5 outstanding (p. 154). The Oct-2025 allotment of 9,650,984 shares (adjusted) was for the businesses acquired, at ₹33.63 (printed WACA ₹35.15; p. 163).

Appendix B: Merchant bankers

Keynote Financial Services Limited is the sole BRLM (p. 98). The DRHP lists two IPOs in FY2026-27 and none in FY2024-25 or FY2025-26 (p. 511):

Issuer	Size ₹ m	Issue price ₹	Listed	Open ₹	30 days	90 days
Amir Chand Jagdish Kumar (Exports)	4,400	212.00	02-Apr-2026	195.00	-23.53%	-15.98%
CSM Technologies	1,458	113.00	02-Jul-2026	113.00	-2.75%	n.a.

Both issues traded below their issue price at day 30. The record is two issues; the BRLM's own website carries the longer SEBI-format record (p. 512), which is outside this run. Owner and shareholding of the firm were not sourced in this run.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Bonus before filing	PASS	22:1 bonus and 1:2 split applied to all years (pp. 154-156)
2	Cash flow vs PAT	WATCH	Cumulative CFO/PAT 69.7%; FY26 8.6% (p. 88)
3	Current vs deferred tax	PASS	Current tax 26.1% of cumulative PBT (p. 87)
4	Related-party capex, funds into subsidiaries	WATCH	Promoter-leased land; RP purchases 6.5% of materials (pp. 94, 129)
5	Objects as price floor	N.A.	Amount-based issue (p. 124)
6	Revaluation reserve	PASS	None
7	Goodwill vs tangible equity	PASS	Goodwill ₹4.55 m, 0.6% of equity; proforma shows ₹65.66 m (p. 91)
8	Concentration	WATCH	Top customer 25.21%; top supplier 7.94%; North 68% (pp. 39, 261)
9	Contingent liabilities	PASS	₹71.70 m, 10.1% of net worth (p. 93)
10	Investor presentation	N.A.	Not reviewed
R1	Auditor	PASS	Unmodified; auditor changes in 2024 (pp. 98, 343)
R2	Audit trail (Rule 11(g))	WATCH	Only from Jan-2026 (p. 416)
R3	Monitoring agency	WATCH	To be named before RHP (p. 101)
R4	Eligibility	WATCH	Reg 6(2) route (p. 57)
R6	BRLM record	WATCH	Two issues, both below issue at day 30

No check is a FAIL: nothing meets the material-issue test.

Appendix D: Data gaps and verification

Item	Severity	Source
Price band, share counts, offer expenses, general corporate purposes amount are [●]	High	RHP
No H1 FY27 data; financials 203 days old	High	RHP
FY26 is the first year of the combined business; proforma cash flow not given	High	RHP
Identity and relationship of Seth Agro Industries	Medium	Issuer / MCA
FY26 receivable ageing and provision coverage not extracted in full	Medium	DRHP note 12
Printed WACA ₹35.15 vs ₹33.63 computed from consideration and shares	Low	Issuer
Peer EBITDA and net debt not entered; relative value uses P/E and P/B only	Low	Exchange filings
Keynote Financial Services' owner not sourced	Low	BSE / MCA

Verification. Reported totals reproduced: FY26 expenses ₹3,730.61 m, PBT ₹444.12 m, PAT ₹313.90 m; the balance sheet balances (assets ₹3,188.36 m); EBITDA ₹557.38 m reproduces the issuer's KPI table (PBT 444.12 + finance 101.63 + depreciation 46.66 - other income 35.03); the issuer's net-assets figure for the acquired businesses (₹320.03 m) ties to consideration less goodwill. `verify.py` results are recorded in the pull request. Grey market premium is not used.

Disclaimer and disclosures

This material is published by Parshwanath Capital Ventures Fund, a Category III Alternative Investment Fund registered with the Securities and Exchange Board of India (SEBI) under the SEBI (Alternative Investment Funds) Regulations, 2012, Registration No. IN/AIF3/25-26/2108. Fund Manager: CA Deep Dalal. Sponsor: Jignesh Shah.

This material is for information and educational purposes only. It does not constitute an offer, invitation, solicitation or recommendation to buy, sell, subscribe to or bid for any security, and it is not investment advice within the meaning of the SEBI (Investment Advisers) Regulations, 2013 or a research report within the meaning of the SEBI (Research Analysts) Regulations, 2014. Calls such as 'Subscribe', 'Neutral', 'Avoid' or 'Screen only' record the Fund's internal analytical view of an offer document and are not a recommendation to any reader.

Units of the Fund are offered only on a private placement basis to eligible investors through the Fund's Private Placement Memorandum, in accordance with the SEBI (Alternative Investment Funds) Regulations, 2012. Nothing in this material is, or should be construed as, a solicitation of investment in the Fund.

The analysis is based on offer documents (DRHP / RHP / prospectus) filed with SEBI and the stock exchanges and on other publicly available information. Figures from sources other than the offer document are identified as such and have not been independently verified. Valuation models, scenarios and projections are illustrative, depend on stated assumptions, and are not forecasts or assurances of future performance. No representation or warranty is given as to accuracy or completeness, and the Fund, its Manager, Sponsor, employees and associates accept no liability for any loss arising from the use of this material.

Disclosure of interest: the Fund, its Manager, Sponsor and their associates may apply for, bid in (including as Anchor Investor or Qualified Institutional Buyer), hold, buy or sell securities of any issuer discussed, before or after publication, and may act in a manner inconsistent with the views expressed here.

Investors should rely on their own examination of the offer document, including its risk factors, and consult their own financial, legal and tax advisers before making any investment decision. Past performance, including of any issuer or lead manager, is not indicative of future results.

Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

Registration granted by SEBI in no way guarantees performance of the Fund or its Manager or provides any assurance of returns to investors.

Investor grievances: fundmanager@parshwanath.in. Complaints may also be lodged with SEBI through SCORES at https://scores.sebi.gov.in.